

“Retail liquidity available to banks is shrinking”

Hitendra Dave, HSBC India CEO, on how the shift to consumption over savings for buying assets has made banks prefer retail loans over corporate lending

BY ANAND ADHIKARI

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India's banking sector has completed a full cycle over the past decade—from high non-performing assets (NPAs) and a long phase of balance sheet repair to high profitability and robust capital levels. The result: Vigorous credit growth after the pandemic. However, in FY25, loan growth showed signs of moderation, raising questions about demand and high base effect. With credit growth central to India's goal of becoming a \$5 trillion economy, the government and the Reserve Bank of India (RBI) are addressing these issues with utmost urgency. BT talks with HSBC India CEO Hitendra Dave to understand the sector's challenges and opportunities. Edited excerpts:

Q: On credit growth challenges in the banking industry.

A: It is fair to say that, at least in the last couple of decades, the banking industry has never seen this level of balance sheet health in terms of capital adequacy ratios, net interest margins (NIMs), and NPAs. This is important because, as and when the industry or the consumer needs funding, the banks can do so without too many constraints.

But there are also structural changes. In the last decade, our capital markets have become a competent substitute for banks, particularly for large companies. So, if you take large PSUs or any other large company, if they need term funding, capital markets are not only available, but they are also available at a better price.

Many large companies are using banks for working capital and not for term projects. Therefore, now you must see credit growth in its fullness, as it is the savers' money that is going into capital market instruments, which in turn get invested into various bonds, etc. It is just that we are still stuck on bank credit growth numbers. That's the right way to look at it.

If banks wish to compete for term assets, they will have to work hard on their cost of funds because they cannot provide the current (interest) rates at which capital markets are providing term financing.